strong financial market in place – its depth and diversity in the instruments of raising long-term money support inclusive growth.

Long-term financial needs of Indian firms are mainly met by the banks in India (17.8 per cent, 2011-12) and the bonds play a negligible role. Basically, the vacuum created by the bond market has been compensated by foreign borrowings (costly and secured) by Indian firms which rose sharply in the last decade.

There are some ***reasons*** why the bond market has not developed adequately:

(i) One reason has to do with what economists call 'multiple equilibria'. This is a situation when due to underdeveloped bond market, the instrument lacks liquidity – lesser number of interested buyers and sellers of the bonds.

(ii) Underdeveloped *mechanism of information* about the corporate houses who could issue bonds- information is delayed, inadequate and insufficient.

(iii) A general *erosion of faith* in the corporate world due to recent cases of scams and scandals which involved the politicians, bureaucracy and the corporate houses, too.

Low penetration of the 'unsecured borrowing' (Corporate bonds) provide less incentives to the entrepreneur and discourages investment and growth. Raising funds via bonds are not only easier but faster and safer in comparision to the 'secured loans' provided by the other segments of the organised finacial sector (banks, security market, debentures). Entrepreneurship needs free and quicker means of funds' availability to flourish – India is a typical case of least explored economy on this count. As India decides to garner $500 billion investment from the private sector in the *12th Plan* period, this is the right time to strengthen the corporate bond market in the country.

Q. 38 Write a current note on the recent steps taken by the government in the area of agricultural extension services.

Ans. Governments have always felt that India lacks a strong extension services in the agriculture sector. In recent years, the GoI has launched